

linked products, which means that the current value of the products the fund buys reflects, at the end of the day, in the price, since these products are ‘marked to the market’.

We had the big Unit 64 blowout because UTI did not want to follow the SEBI rules on mutual funds and resisted ‘marking their portfolio to market’. This means that nobody but insiders in UTI knew the real value of the portfolio. When the portfolio was evaluated at real market prices, it was discovered that there were huge losses that had been hidden.

Many retail investors, especially retired folk, lost their savings in the Unit 64 scam. Till today, people of a certain age resist investing in mutual funds due to the loss of confidence caused by the UTI scam. The government then broke up UTI into two – the good UTI which then followed SEBI’s rules and the bad UTI that held all the toxic assets.

The UTI Mutual Fund from which you can now buy schemes is the ‘good’ UTI. Each time there has been a blowout in the mutual fund industry, the market regulator has come up with tighter and tighter rules to make it safer for retail investors to come to the market.

So how many kinds of funds are there?

Today you can buy three kinds of asset classes through mutual funds – debt, gold and equity. Real estate will soon be available through special mutual funds called real estate investment trusts (REITs).

Equity mutual funds buy into stocks of listed companies. Debt mutual funds buy bonds and debt papers issued by the government and firms. Gold funds buy actual gold. Each of these asset classes are further subdivided into categories.

Think of it as a sector called individual vehicles. Within this sector there will be two-wheelers and four-wheelers. Within two-wheelers there will be motorbikes and scooters. Within motorbikes there will be high-end and low-end. Within scooters there will be geared and gearless.

In four-wheelers, there will be small cars, sedans, SUVs (sports utility vehicles), luxury cars. Within each category there will be further subdivisions. You match your budget and need to the vehicle on offer. Think of all the funds